BONDS FOCUS

The retreat from sovereign bond duration

- **Supply/demand dynamics in long-dated sovereign debt markets are deteriorating, with demand from traditional sources waning and supply remaining strong. And now fiscal support in response to the Iran war may add further strain to public finances. This report outlines how debt managers are likely to respond to these developments and what it means for the yields of long-dated sovereign bonds.**
- As we laid out in a *Focus* last year, there has been a deterioration in the balance between the demand for, and supply of, long-dated government bonds across major DMs. While demand from some traditional sources for these bonds appears to have waned, supply has been strong as governments have continued to run large fiscal deficits. **This imbalance has been a recipe for a relative rise in the yields of these bonds and increased volatility at the very long end of the yield curve over recent years.**
- **We expect these imbalances to persist.** Indeed, fiscal support to protect households and firms from rising energy costs from the war in the Middle East could become another supply pressure to add to a long list.
- **But one tool governments can use to manage the imbalances and keep a lid on long-dated government bond yields is to shorten the duration of their debt issuance.** As a result, we suspect governments are likely to favour shorter-dated bonds to meet their future funding needs. Indeed, having lengthened issuance mixes during the 2010s, debt managers, in some cases at least, have reversed course over the past couple of years.
- **Japan and the UK stand out as two countries that have already started to do this, which is perhaps unsurprising given both had been more reliant than most on longer-dated debt.** If Japan's Ministry of Finance continues to reduce the maturity of its debt issuance, and Japan's debt-to-GDP ratio continues to decline, as we expect it will, the risk of further dislocation in the long-dated JGB market is likely to diminish. In the UK, the debt-to-GDP picture is less rosy, but the Debt Management Office is nonetheless making good progress on reducing the maturity of the UK's issuance mix.
- **The US may also shorten its debt issuance mix, despite it already relying comparatively heavily on short-term debt.** This would help manage the expected deluge of Treasury supply in the coming years and limit upward pressure on long-term Treasury yields. Supply pressures may also be amplified if the Fed starts shrinking its balance sheet again. Even if that doesn't happen, the Fed appears to want to reduce the duration of its balance sheet, which is likely to incentivise the issuance of T-bills anyway.
- In the euro-zone, we don't see too much scope for long-dated Bunds yields to rise further even as Germany's debt-to-GDP ratio is set to increase. We think there is more cause for concern for long-dated French, and perhaps, Italian government bond yields given the significant future funding needs of these governments.
- **All told, further volatility in the yields of long-dated government bonds is likely as governments adapt to the new demand reality. But, all else equal, as they shift debt issuance away from long-term bonds in favour of short-term ones, downward pressure is likely to be put on long-dated government bond yields and the slope of yield curves.**

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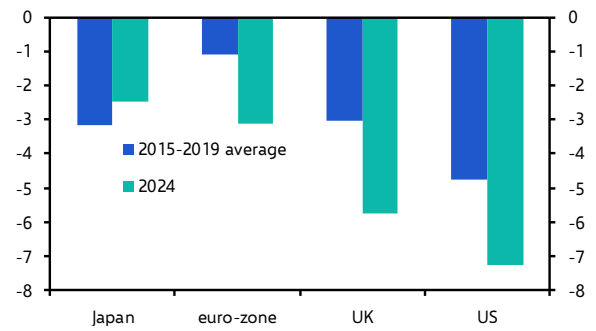
The retreat from sovereign bond duration

Fiscal support to cushion the impact of rising energy costs from the Iran War could add to the strains on public finances across DMs. Meanwhile, demand for long-dated government bonds is waning. This *Focus* examines how debt managers are likely to respond to the deteriorating demand/supply balances in long-dated government debt markets and what it means for the yields of these bonds.

Introduction

As we laid out in a *Focus* last year, there has been a deterioration in the balance between the demand for, and supply of, long-dated government bonds across major DMs. Demand from traditional sources for these bonds appears to have waned. Central banks have stepped back from government bond markets and demand from pension funds and life insurers, who could often be relied on to hoover up these bonds, is in long-term decline. Picking up the slack has tended to be reserve managers, non-pension investment funds and banks, who are typically more sensitive to yields and prefer shorter-dated bonds. **At the same time, bond supply has been strong as governments have continued to run large fiscal deficits (with the exception of Japan).** (See Chart 1.)

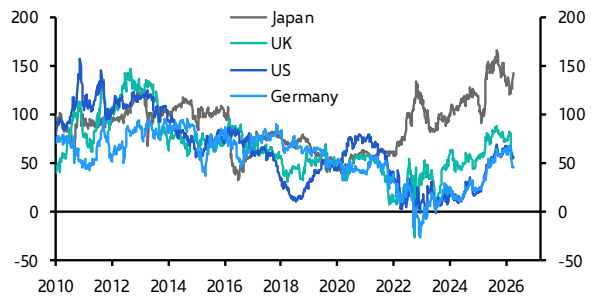
Chart 1: Fiscal Balances (% of GDP)



Sources: IMF, Capital Economics

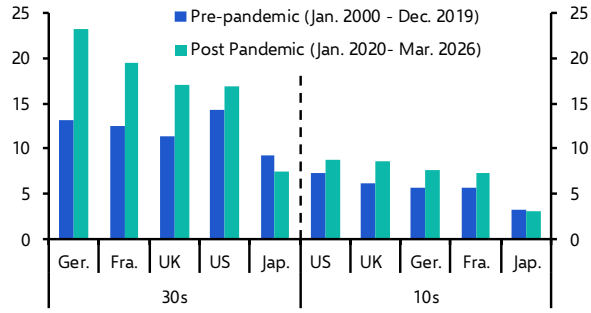
This imbalance has been a recipe for a relative rise in the yields of longer-dated bonds. The spread, for example, between 30-year and 10-year government bond yields is much higher now in many economies than it was a few years ago. (See Chart 2.) **It has also likely played a part in the rise in the volatility in the returns of these bonds in recent years.** (See Chart 3.) Japan is the only place where volatility is lower in the post-pandemic period, which may reflect the BoJ's policy rate being at zero (and expected to remain there) until late 2023 as well as the BoJ's yield curve control programme in the early 2020s.

Chart 2: 30-Year/10-Year Government Bond Yield Spreads (bp)



Sources: LSEG Data and Analytics, Capital Economics

Chart 3: Annualised Volatility of Monthly Returns of Selected Datastream Government Bond Indices (%)



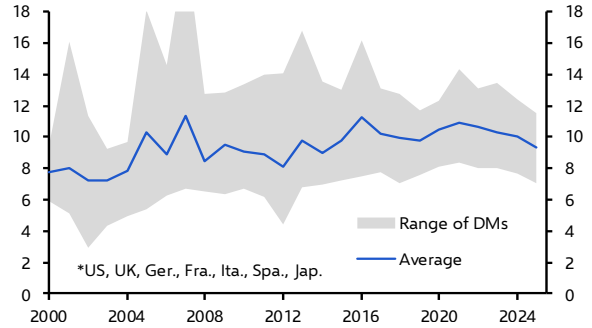
Sources: LSEG Data and Analytics, Capital Economics

We expect this imbalance to persist. The demand from traditional sources for long-dated government debt is unlikely to come back anytime soon. At the same time, supply is also likely to remain strong in most places. Indeed, fiscal support to cushion the impact on households and firms from rising energy costs from the war in the Middle East could become another supply pressure to add to a long list.

Absent fiscal consolidation, we have argued in the past that governments will use financial repression to keep a lid on bond yields. But perhaps a more conventional tool is for debt managers to shorten their debt issuance mixes. Indeed, having lengthened average issuance over the 2010s, debt

managers, in some cases, have reversed course over the past year. (See Chart 4.)

Chart 4: Weighted Average Maturity of Annual Gross Debt Issuance (Years)

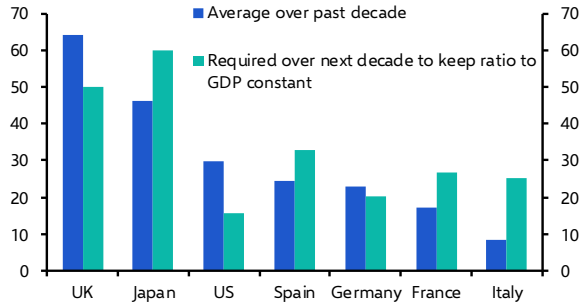


Sources: LSEG Data and Analytics, Capital Economics

How large do the adjustments need to be to manage the imbalances? One simple rule of thumb is to stop the stock of very long-dated government bonds (which we can define, for example, as those with more than ten years to maturity) rising relative to GDP, if we accept that economic actors are, on average, less willing to hold them than before.

On this basis, the UK, US and Germany stand out as countries where the adjustments in issuance mixes need to be the largest. (See Chart 5.) That said, the UK has already made good progress on this front. What's more, Germany could probably weather an increase in the stock of these bonds better than some other places, as it has a lower debt-to-GDP ratio than most others. Japan has faced the most acute deterioration in this balance recently, but it has taken steps to mitigate it. Given it will likely benefit from a falling debt-to-GDP ratio, its current issuance plans point to the volume of its long-dated debt falling as a share of GDP over the next decade without further adjustment in issuance.

Chart 5: Share of Net Government Bond Issuance With 10 Years Or More To Maturity (%)



Sources: LSEG Data & Analytics, Capital Economics

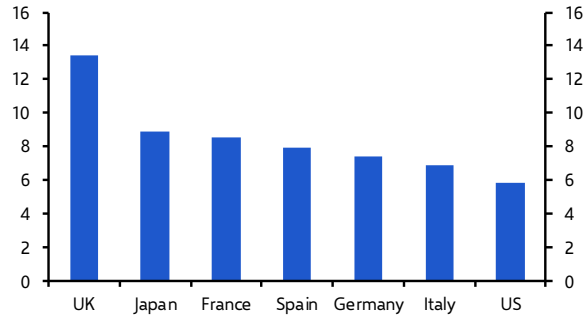
What does all this mean for long-dated government bond yields? Further volatility in the yields of these bonds is likely as governments adapt to the new demand reality. The fragile balance between the demand/supply of long-dated bonds also raises the risk of spillovers. Dislocation in one country's bond market can often transmit to others, as these bonds are close substitutes of one another, but the impact is likely amplified when there are common imbalances in long-dated government debt markets.

All else equal, however, as governments shift debt issuance away from long-term bonds in favour of short-term ones, it is likely to put downward pressure on yields of long-dated government bonds and the slope of yield curves.

US

The US has historically relied much less on long-dated debt than other major countries. Reflecting this the weighted average maturity (WAM) of its debt is lower than that of most other DMs. (See Chart 6.)

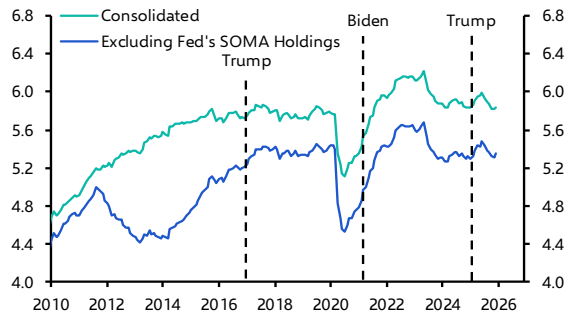
Chart 6: Weighted Average Maturity of Outstanding Government Debt (Years, End-2025)



Sources: LSEG Data and Analytics, Capital Economics

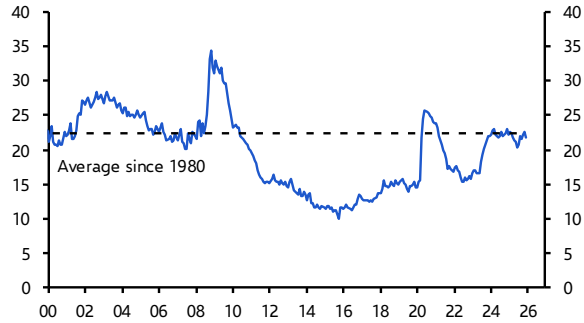
This approach hasn't changed under the current administration. Admittedly, prior to taking office, Treasury Secretary Scott Bessent attacked his predecessor Janet Yellen for issuing too many T-bills and not lengthening the WAM of the US debt. (Fed Governor Stephen Miran, in a previous role, also labelled these policies as "activist Treasury issuance" and "stealth QE"). However, since Bessent took over, the WAM of the US debt is little changed on net and the volume of T-bills as a share of outstanding debt has remained more than 20%. (See Charts 7 and 8.)

Chart 7: Weighted Average Maturity of US Treasury Debt (Years)



Sources: US Treasury, Capital Economics

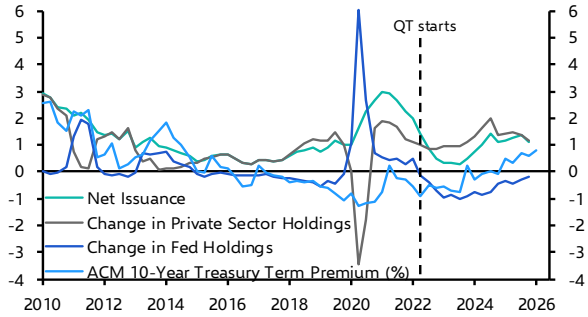
Chart 8: Outstanding Volume of Treasury Bills (% of Outstanding Marketable US Debt)



Sources: LSEG Data and Analytics, Capital Economics

This is partly a symptom of the waning demand for long-dated Treasuries. Until recently the Fed had been reducing its holdings of Treasuries. This increased the burden of supply to be absorbed by the private sector, at a time when demand from financial institutions that had historically acted as stable sources of demand for long-dated debt has waned. This has coincided with an increase in estimates of the term premium component of the 10-year government bond. (See Chart 9.) As a result, the Treasury has likely kept a lid on long-dated debt issuance to not overwhelm the private sector with supply and push term premia up further.

Chart 9: Net Issuance of Treasuries & Change in Holdings of Treasuries by Fed/Private Sector (Ex. Bills, % of GDP)



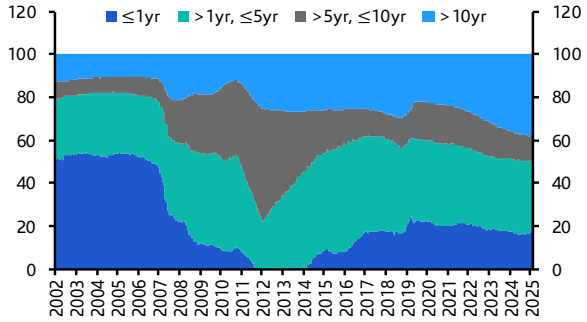
Sources: LSEG Data and Analytics, Capital Economics

Persistent fiscal deficits will keep upward pressure on Treasury supply. After all, there appears little willingness across the political spectrum to put the public finances on a sustainable footing. We forecast the US' debt to GDP ratio to rise from ~100% in 2025 to 110% by 2035. With the traditional sources of demand for long-dated bonds not what they once were, a rising supply of these bonds risks upward pressure on long-dated Treasury yields.

A partial solution would be for the Treasury to further skew its issuance mix shorter. We estimate that the Treasury would have to almost halve the net issuance share of long-dated bonds in the overall mix, relative to the past decade, to keep the supply of these bonds constant as a share of GDP. (See Chart 5 again.)

Presumptive incoming Fed Chair Kevin Warsh's plans to shrink the Fed's balance sheet would reinforce the case for a shorter issuance mix. The main asset on the Fed's balance sheet is Treasuries, of which the largest share is those with maturities of more than 10 years. (See Chart 10.) Depending on the pace of balance sheet reduction, it would presumably involve the Fed allowing long-dated Treasuries to roll off their books as they mature and/or outright selling them. Either way, the Treasury would likely respond by issuing fewer long-dated bonds to offset the extra supply from the Fed.

Chart 10: Federal Reserve Outright Holdings of Treasuries By Maturity Bucket (% Of Total Holdings)



Sources: Federal Reserve, Capital Economics

That said, Warsh's plans may prove difficult to implement in practice. They would require the backing of a majority of the Fed Board of Governors, and it is not clear Warsh will be able to persuade the other policymakers. It is also unclear how shrinking the balance sheet would square with the lower Treasury yields that Warsh (and the President) appears to want.

Nevertheless, the Fed is still adjusting its balance sheet in ways that argue for a shorter-dated issuance mix. After all, it is reinvesting the proceeds from its maturing mortgage-backed securities into T-bills. Since September of last year it has also started to increase the size of its balance sheet again, by buying ~$40bn a month of T-bills as part of its "reserve management purchases". Admittedly, these purchases are set to be sizeably pared back after the April tax deadline. But the Fed still appears to want to reduce the duration of its balance sheet to better match the overall Treasury market, which points to a shifting of the balance sheet's composition towards T-bills over time. (The WAM of the Fed's holdings is ~8.5 years, versus ~5.3 years for outstanding Treasuries excluding the Fed's holdings.)

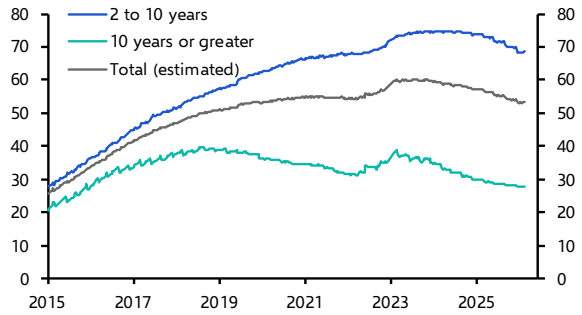
A further incentive to shorten the issuance mix is the growth of Stablecoins. Issuers of dollar-backed stablecoins purchased $33bn of US T-bills in 2025, according to a recent BIS report, bringing their estimated holdings to ~$150bn and making them one of the largest holders of T-bills. And if stablecoins displace bank balance sheets in facilitating transactions, their growth probably increases demand for T-bills relative to the alternative. (Stablecoins are fully asset-backed, while banks allocate only part of their balance sheets to T-bills/Treasuries). That said, Treasury Secretary Bessent's recent suggestion that stablecoins could generate up to $2trn of demand for federal debt looks optimistic. (See here.)

So far, there are no signs of the Treasury shortening its issuance mix further. The most recent Quarterly Refunding Announcement noted that proportional net issuance of long-dated Treasuries over the next year will remain similar to the past decade. That said, despite the already low WAM of the US debt by global standards, there is nonetheless scope for it to shorten its issuance mix (assuming it is willing to tolerate higher refinancing risk) without departing too far from historical norms, should market pricing encourage such a move. After all, the volume of T-bills as a share of the overall debt stock is in line with its average since 1980, and the WAM of the US debt is well above where it was 15 years ago, for example. (See Charts 7 and 8 again.)

Japan

Our sense is that the supply/demand imbalance of long-dated government debt has been the most acute in Japan. Investors seem to agree: the 30-year/10-year government bond yield spread is larger in Japan than in other major DMs. (See Chart 2 again.) The Bank of Japan still owns a much larger share of its domestic bond market than most other major central banks do of theirs. But it is slowly shrinking its footprint, and the BoJ's ownership share at the long end of the JGB market is the smallest in more than a decade. (See Chart 11.)

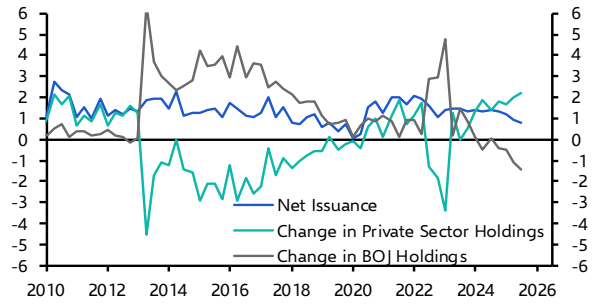
Chart 11: Bank of Japan Holdings of JGBs By Residual Maturity (% of Outstanding)



Sources: LSEG Data and Analytics, Capital Economics

As a result, the onus on the private sector to absorb JGBs has increased. (See Chart 12.) However, as in other DMs, this demand has not been filled by buyers who are more price-insensitive like pension funds or life insurers. Over the past year, foreign investors have picked up most of the slack. (See here.)

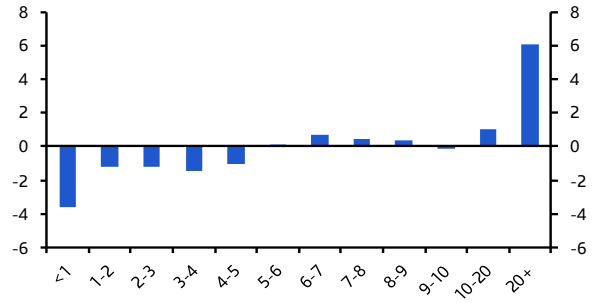
Chart 12: Net Issuance of JGBs & Change in BoJ/Private Sector JGB Holdings (% of GDP)



Sources: LSEG Data and Analytics, Capital Economics

On the supply side, the Ministry of Finance (MoF) had been skewing issuance towards the very long end for much of the past decade. (See Chart 13.) As a result, the WAM of the stock of Japan's outstanding debt rose from 7 years in 2010 to ~10 years in 2025.

Chart 13: Change in Share of JGBs Outstanding By Residual Maturity (%, Since End-2016)

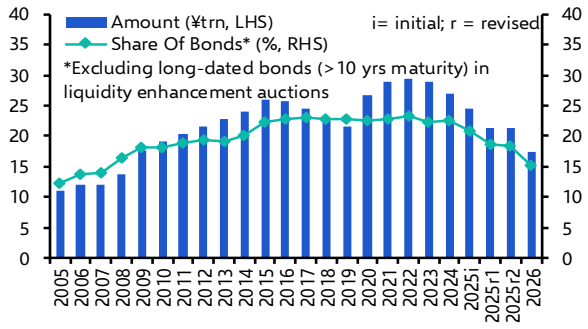


Sources: LSEG Data and Analytics, Capital Economics

This has likely contributed to recent volatility in the yields of these bonds. For example, a flaring up in investors' fiscal concerns following Takaichi's election win may have triggered the spike in long-dated JGB yields in January, but it was likely amplified by the delicate supply/demand balance in the JGB market.

That said, we think the risk of further dislocation in the long-dated JGB market has diminished. The Japanese authorities have begun to address the imbalance over the past year. For one, the MoF announced in December, following an earlier shift in strategy in May, that the share of long-dated JGBs in overall JGB issuance (excluding short-term bills) in FY 2026 will be the lowest since FY 2007. (See Chart 14.) **The BoJ has also retained the amount of long-dated JGBs it purchases, even as it has cut its overall purchases.** There are further steps the authorities could take such as allocating a larger share of public pension funds to domestic bonds. An improvement in the demand/supply balance may explain some of the fall in the 30-year/10-year JGB yield spread in recent months. (See Chart 2 again.)

Chart 14: Planned Issuance Of Long-Dated JGBs With More Than 10-Years Maturity By Fiscal Year



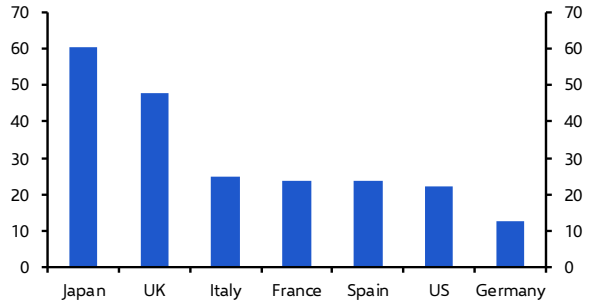
Sources: LSEG Data and Analytics, Capital Economics

Meanwhile, we think Japan's long-term fiscal health is improving. Concerns about the country's fiscal position, which have intensified in some quarters after the election of Sanae Takaichi are, in our view, overblown. Indeed, the government likely only ran a small deficit last year. The return of inflation will also continue to be a boon for the public finances: tax revenues are now rising faster than government spending, helping to narrow the budget deficit. We forecast Japan's gross debt as a share of GDP to fall from 215% in 2025 to less than 175% over the next decade.

Based on these forecasts, the MoF would have to *increase* the share of long-dated government bonds in the overall mix to keep their ratio constant as a share of GDP over the next decade, not reduce it as it is doing now. (See Chart 5 again.) **As a result, the MoF's current plans point to a fall in the size of the long-dated JGB market relative to GDP.** This is sensible given that the already large pool of long-

dated JGBs means maintaining their share of GDP may not alleviate the imbalance. (See Chart 15.)

Chart 15: Stock of Government Debt With 10-yrs or More Until Maturity (% of GDP, End-2025)

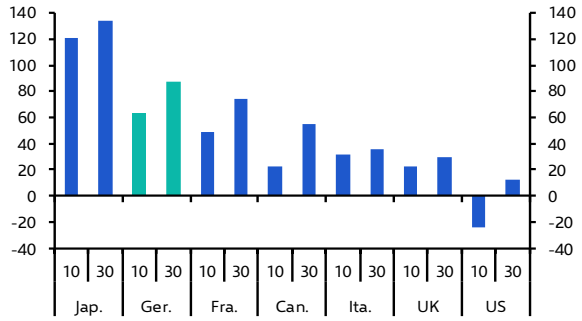


Sources: LSEG Data and Analytics, Capital Economics

Euro-zone

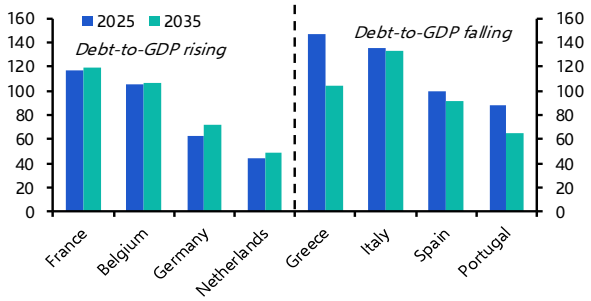
Budget deficits in parts of the euro-zone look set to remain large over the next decade. Perhaps most notably, Germany has finally loosened its fiscal guardrails, which has coincided with long-dated government bond yields in Germany rising more than those elsewhere in the G7 other than Japan. (See Chart 16.) It's on track for record debt issuance of over 500bn euros in 2026, up from 425bn in 2025. And, over the next decade, we expect its debt to GDP ratio to rise from ~60% now to over 70%. (See Chart 17.)

Chart 16: G7 Government Bond Yields (bp Change Since End-2024)



Sources: LSEG Data and Analytics, Capital Economics

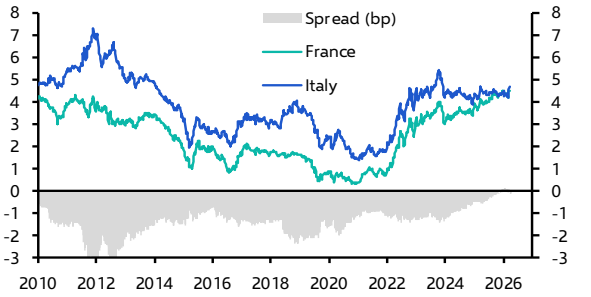
Chart 17: Gross Government Debt (% of GDP)



Sources: LSEG Data and Analytics, Capital Economics

In France, political dysfunction makes an improvement in the fiscal outlook unlikely in our view. We expect its debt to stay at ~110% of GDP. But this rests on the assumption that its budget deficit falls to 3% of GDP in the 2030s, which, given a win for Rassemblement National in the 2027 election looks likely, may prove too optimistic. On the face of it, the picture isn't so bleak in Italy. Meloni's government has managed to tighten fiscal policy and is on track to win the election next year. The convergence of French and Italian 30-year sovereign bond yields may reflect the contrasting fortunes of the two governments in grappling with their public finances. (See Chart 18.)

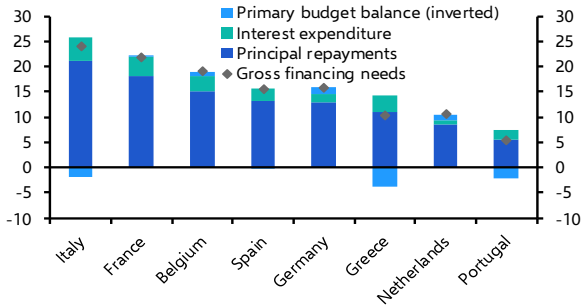
Chart 18: 30-Year Government Bond Yields (%)



Sources: LSEG Data and Analytics, Capital Economics

Even so, we suspect Italy's debt-to-GDP ratio is likely to remain elevated at ~135% over the next decade. Such are the pressures on supply we estimate that the gross financing requirements, a proxy for gross bond issuance, in Italy and France will average over 20% of GDP out to 2035. (See Chart 19 and our euro-zone debt sustainability monitor.)

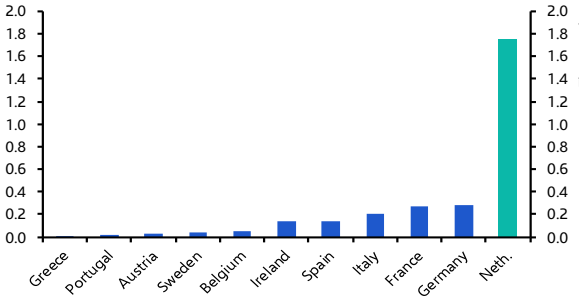
Chart 19: Average Annual Gross Financing Needs, 2025 to 2035 (% of GDP)



Sources: LSEG Data and Analytics, Capital Economics

As the "core" members of the eurozone face record funding needs, they must also contend with the waning demand from one of the largest holders of European government debt. While the Netherlands accounts for ~7% of the euro-zone's economy, the assets of its pension system were around $1.7tn in 2024, more than half of all pension fund assets in the bloc. (See Chart 20.) And its holdings of European government debt totalled ~€300 billion in Q3 2025.

Chart 20: Pension Funds' Assets (Trillions USD, 2024)



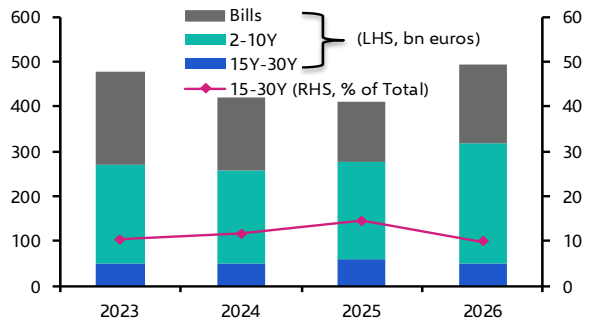
Sources: OECD, LSEG Data and Analytics, Capital Economics

However, it is in the middle of transforming from a defined benefit model to a defined contribution system, which is involving an unwinding of their long-dated bond holdings. The Dutch central bank forecasts that these reforms will lead to Dutch pension schemes reducing their holdings of European government bonds with maturities over 25 years by €100bn-150bn over the course of the transition (it is set to last until 2027), a large chunk of the €900bn worth of such bonds outstanding.

Against this backdrop, ongoing QT by the ECB will expand the stock of European government bonds available for purchase by the private sector. For example, the ECB's holdings of these bonds are set to shrink by €400bn in 2026.

Despite all this, there has yet to be major changes in issuance mixes. Admittedly, Germany has slightly reduced the share of 15- to 30-year bonds in its issuance mix for 2026. (See Chart 21.) Netherlands has also lowered the target for the WAM of its debt from 8 to 7.5 years. But, overall, the "core" countries' issuance mixes for 2026 are in line with recent years.

Chart 21: Planned Gross Issuance of Bunds & Bills (ex. Green Bonds Issuance)



Sources: Deutsche Finanzagentur, Capital Economics

That said, we don't think there's too much scope for very long-dated Bund yields to rise further. Admittedly, if Germany wants to keep the volume of long-dated bonds constant as a share of GDP, we estimate that it may have to reduce the share of these bonds in its overall *net* issuance mix to 10% over the next decade. (See Chart 5 again.) But the volume of long-dated bonds as a share of GDP would only be rising from a low base. (See Chart 15 again.) While the so-called Bund "scarcity premium" may have disappeared (German swap spreads, for example, have been negative since 2024), Germany's favourable starting position gives it more space to increase its issuance without placing substantially more upward pressure on yields.

There is more scope for yields to rise in France and Italy. Our estimates suggest that both countries would have to *increase* the net issuance share of long-dated debt to keep the size of these markets constant as a share of GDP, but the perilous state of their public finances and significant funding needs over the next decade may result in higher bond yields in both places.

The fiscal outlook is generally better in the other "peripheral" countries. Government debt ratios in many of these countries have declined rapidly over the past five years due to impressive economic growth rates and, in some cases, budget surpluses. We expect public debt ratios to keep falling in Greece, Portugal and Spain over the next decade. (See Chart 17 again.) As a result, we don't see much scope for long-dated government bond yields in these countries to rise.

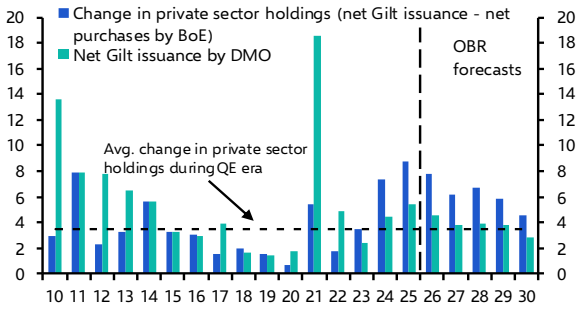
UK

The UK has relied more than most DMs on long-dated debt issuance in recent decades. **The WAM of the UK's outstanding debt is ~14 years, well above that of other major DMs.** (See Chart 6 again.)

This reflected, in part, strong demand from the UK's defined-benefit pension sector for long-dated (and inflation-linked) assets that match their long-term real liabilities. However, as many of these schemes mature and gradually transition toward defined-contribution structures, this demand is softening.

The supply/demand imbalance for long-dated Gilts has been compounded by the Bank of England's QT programme. Unlike other central banks, the Bank of England has actively sold Gilts rather than just not replacing maturing ones on its balance sheet. This has increased the burden of private sector Gilt absorption, at a time when demand from those financial institutions the DMO could rely on to hoover up long-dated Gilts is waning. (See Chart 22.) (See here for more.)

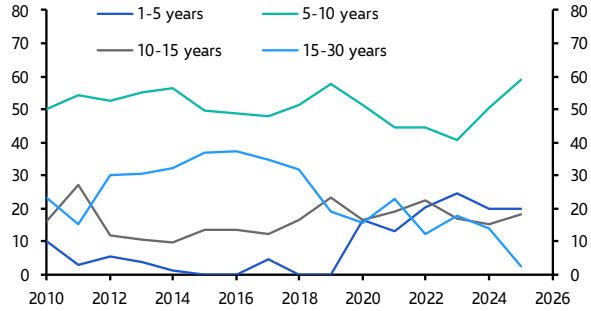
Chart 22: Net Gilt Issuance & Change in Private Sector Gilt Holdings (% of GDP)



Sources: OBR, LSEG Data and Analytics, Capital Economics

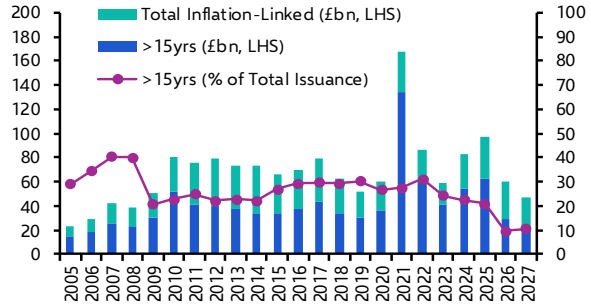
The Debt Management Office (DMO) is responding by scaling back its sales of long-dated and inflation-linked bonds and issuing more Gilts of maturities between 5 and 15 years. (See Charts 23 and 24). **In FY2027, the DMO plans to issue the smallest amount of bonds of more than 15-years maturity since FY2008.** And, whereas long-dated Gilts made up 40% of debt issuance in FY2008, they will only account for ~10% in FY2027. (See Chart 24 again.)

Chart 23: Gilt Issuance By Maturity (% of Total Gross Annual Issuance, ex. T-Bills)



Sources: DMO, Capital Economics

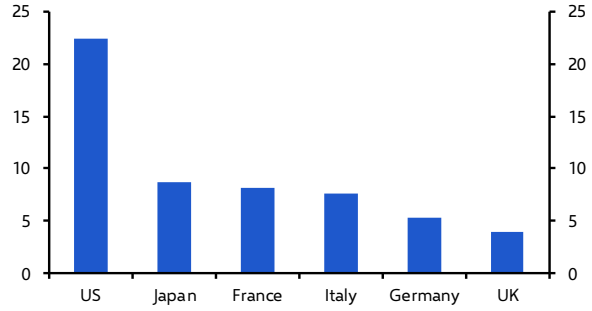
Chart 24: Planned Issuance Of Long-dated Gilts & Inflation-Linked Gilts By Fiscal Year



Sources: DMO, Capital Economics

What's more, a consultation by the DMO launched this year suggests T-bills may soon play a bigger role in financing deficits. Bills currently makes up only 4% of the UK's outstanding debt, less than in other major DMs, particularly the US. (See Chart 25.)

Chart 25: Outstanding Debt With <1 year Until Maturity (% of Total Outstanding Debt, End 2025)



Sources: LSEG Data and Analytics, Capital Economics

The UK's public finances may be in a poor state, but they are in a better spot than in parts of the euro-zone and the US. Unlike in those places, we forecast debt to GDP to fall a touch, from 94.2% to 93.2% over the next decade. **Even so, based on our baseline debt to GDP forecast, the UK will have to make a large adjustment to its net issuance mix to keep the volume of long-dated bonds constant as a share of GDP over the next decade.** (See Chart 5 again.) And, given the already large outstanding pool of these bonds, like in Japan (see Chart 13 again), a more pronounced shortening of the issuance profile than this may be required to address fully the imbalance.

What's more, there is a good chance that fiscal policy ends up looser than we expect given the risk of a leftward lurch within the Labour Party, should Keir Starmer be ousted as PM. A win by one of the populist parties, Reform or the Greens in the general election slated for 2029 would also likely have the same result based on what we know so far about their policy programmes.

Nevertheless, the sharp shift in the issuance mix over the past year suggests the UK is nonetheless heading in the right direction to manage the supply/demand imbalance at the long end of the Gilt curve.

Conclusion

A deterioration in the balance between the demand for, and supply of, long-dated government bond has been a recipe for a relative rise in the yield of these bonds and greater volatility in recent years.

The fragile balance between the demand/supply of long-dated bonds also raises the risk of spillovers. Dislocation in one country's bond market can often transmit to others, as these bonds are close substitutes of one another, but the impact is likely amplified when there are these common imbalances in long-dated government debt markets.

We expect these imbalances to persist. And the ongoing war in Iran may only make them worse if governments respond with fiscal support. To mitigate these imbalances, debt managers across the major DMs are likely to resort to shortening gradually their issuance mixes, if they haven't already. More volatility in long-dated sovereign bond yields is likely as governments adapt to the new demand reality. But all else equal, this is likely to put downward pressure on the yields of long-dated government bonds and the slope of yield curves.

The UK and Japan stand out as two countries that have already drastically shortened their issuance mixes. We think Japan is also likely to benefit from a declining debt-to-GDP ratio. And so, while we can't rule out a further steady rise in long-dated JGB yields as the economy reflates, the risk of further dislocation in the long-dated JGB market is likely to diminish.

The US Treasury already relies comparatively heavily on shorter-dated debt issuance but may shorten its issuance mix further to accommodate the expected deluge of Treasury supply in the coming years and prevent long-dated Treasury yields from rising. Supply pressures could be amplified if the Fed shrinks its balance sheet. In the euro-zone, we don't see much scope for long-dated Bunds to rise even as its debt to GDP ratio increases, but we think there are good reasons to be concerned about long-dated French and Italian government bonds.

There are other tools available to governments, including financial repression. And, of course, they could take action to reduce their budget deficits. For the most part, though, it seems as like that will prove a last resort and is unlikely to happen to a great degree without yields rising somewhat further first.

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